

Alphabet Q1 2026 Earnings

Blind Sentiment & Directional Score: Outlook/guidance only

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July 30, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Info-source experiment:** this read uses **Outlook/guidance only** as the ONLY report content. The other sections (the reported financial results, the earnings call Q&A) are withheld by design. Sources rotate across companies, so each company reads each source exactly once and each quarter slot contains two of each source.
- **Research:** Google is allowed for pre-release context (definitions, prior-quarter framing, analyst expectations going into the print). Not allowed before sealing: the withheld sections, the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Alphabet Inc. (GOOGL)
Report	Q1 2026
Release date	Wednesday 29 April 2026, after close
Earnings call	4:30pm ET
Source	Motley Fool transcript
Read mode	cold; management outlook/guidance only, no reported results, no Q&A, no price chart
Time to produce	34 minutes

Source material (read ONLY this)

Forward guide (assigned source: outlook/guidance only)

- 2026 capex guidance raised to \$180B to \$190B from \$175B to \$185B, reflecting the Intersect acquisition. *"We expect our 2027 CapEx to significantly increase compared to 2026"* (Anat Ashkenazi, CFO).
- Q2 revenue: an FX tailwind of approximately 1 percentage point expected, against a 3 point tailwind in Q1.

- TPU hardware agreements: *“a small percent of the revenues from these agreements later this year with the vast majority of revenues to be realized in 2027”*; TPU revenue *“will fluctuate from quarter to quarter”*.
- Wiz acquisition: a low single-digit percentage-point headwind to Cloud’s operating margin for the remainder of 2026.
- *“Significant increase in our investment in technical infrastructure will continue to put pressure on the P&L in the form of higher depreciation expense and related data center operations costs such as energy”* (Ashkenazi).

Your scoring: fill in below, then seal

1 Sentiment score

Score: −0.40

Rationale. Capex raised again with 2027 flagged “significantly” higher, a Wiz margin headwind, and TPU revenue pushed largely into 2027: cost now, revenue later.

2 Directional signal

Signal: SELL

Rationale. An outlook that is all spending today and revenue tomorrow rarely gets paid on the night. SELL.

3 Structured summary

- **What the source shows.** Another capex raise, with 2027 pre-announced as higher again.
- **What the source cannot show.** No results, so cannot see the growth that might justify the step-up.
- **Expectations bar.** Against capex fatigue this outlook feeds the bear case directly.
- **Conviction.** Moderate conviction: depreciation and energy costs guided up, revenue deferred.

4 Evidence quotes

1. 2026 capex guidance raised to \$180B to \$190B from \$175B to \$185B, reflecting the Intersect acquisition. *“We expect our 2027 CapEx to significantly increase compared to 2026”* (Anat Ashkenazi, CFO).
2. Q2 revenue: an FX tailwind of approximately 1 percentage point expected, against a 3 point tailwind in Q1.
3. TPU hardware agreements: *“a small percent of the revenues from these agreements later this year with the vast majority of revenues to be realized in 2027”*; TPU revenue *“will fluctuate from quarter to quarter”*.

— SEALED —

Overnight move and call verification

GOOGL close, 29 April 2026 (release day)	\$349.94
GOOGL open, 30 April 2026	\$374.07
Overnight move	+6.90%

Call verification

- HOLD band test: $|+6.90\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: The move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **SELL**, correct call **BUY**, so **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+6.90%
D+1 close	+9.96%
D+3 close	+9.52%
D+5 close	+13.75%
D+10 close	+15.05%
D+20 close	+11.48%